secondary place. However, the Corporation did not withdraw from the rupee business but continued to take marginal interest in rupee operations. Performing its function as a provider of risk finance, the Corporation continued to take a small share in the equity of new companies financed by it. To some extent this was an expression of confidence in the projects financed by it. In this manner it began to build up a risk portfolio to enable it to keep its foot in the rupee market. Using the opportunity of a buoyant capital market, ICICI began to sell a part of its investment portfolio on the market. The Corporation helped to broaden public shareholding in industry and in the process helped the growth of the capital market and replenished its own rupee resources.

Financing Industry

Among the earliest financing operations of ICICI, (initiated by Beale but inherited by Parekh), were two large paper industry projects: Titaghur Paper Mills in the east and West Coast Paper Mills in the west. Each was financed to the extent of ₹1 crore. Titaghur was a long established mill which had two units in Calcutta that were doing well. The proposal was to set up a third unit in Orissa. The West Coast project (50 tonnes per day) was a brand new one set up in the bamboo-growing area at Dandeli. One was managed by the well-established Bird & Company, while West Coast was managed by Indians with experience of other industries, but who were new to the paper industry. ICICI gave Titaghur a loan of ₹1 crore, while it underwrote the equity and preference capital of ₹1 crore of West Coast.[21]

Since ICICI was interested in the paper industry, an English expert was appointed for about two years. He was very knowledgeable but his habit of calling a spade a spade did not go down well with Beale. He told Beale that Titaghur's first two units were far too old and that new units should be set up in their place. He was right but Beale chose to ignore his advice. The wisdom of his words was proved much later. The Calcutta units had to import bamboo from long distances at a high cost and the machinery and technology were near obsolete. The third unit, which was a reconditioned second-hand machine and imported at an inflated price, gave endless trouble for many years. It became a viable unit after a long time and that too because it was in the midst of the bamboo-growing area. In the end, the